

THE CORPORATION AND ITS STAKEHOLDERS **30060 – MANAGEMENT**

Management book - Chapter 2

Department of Management & Technology



AGENDA

1. THE RELATIONSHIP BETWEEN BUSINESS AND SOCIETY
2. THE PURPOSE OF THE MODERN CORPORATION
3. STAKEHOLDER ANALYSIS, INTERESTS AND POWER
4. CONCLUSIONS AND SUMMARY



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UNDERGRADUATE
SCHOOL

Poll time!

Have you ever heard about Valeant?

- A) Yes
- B) No

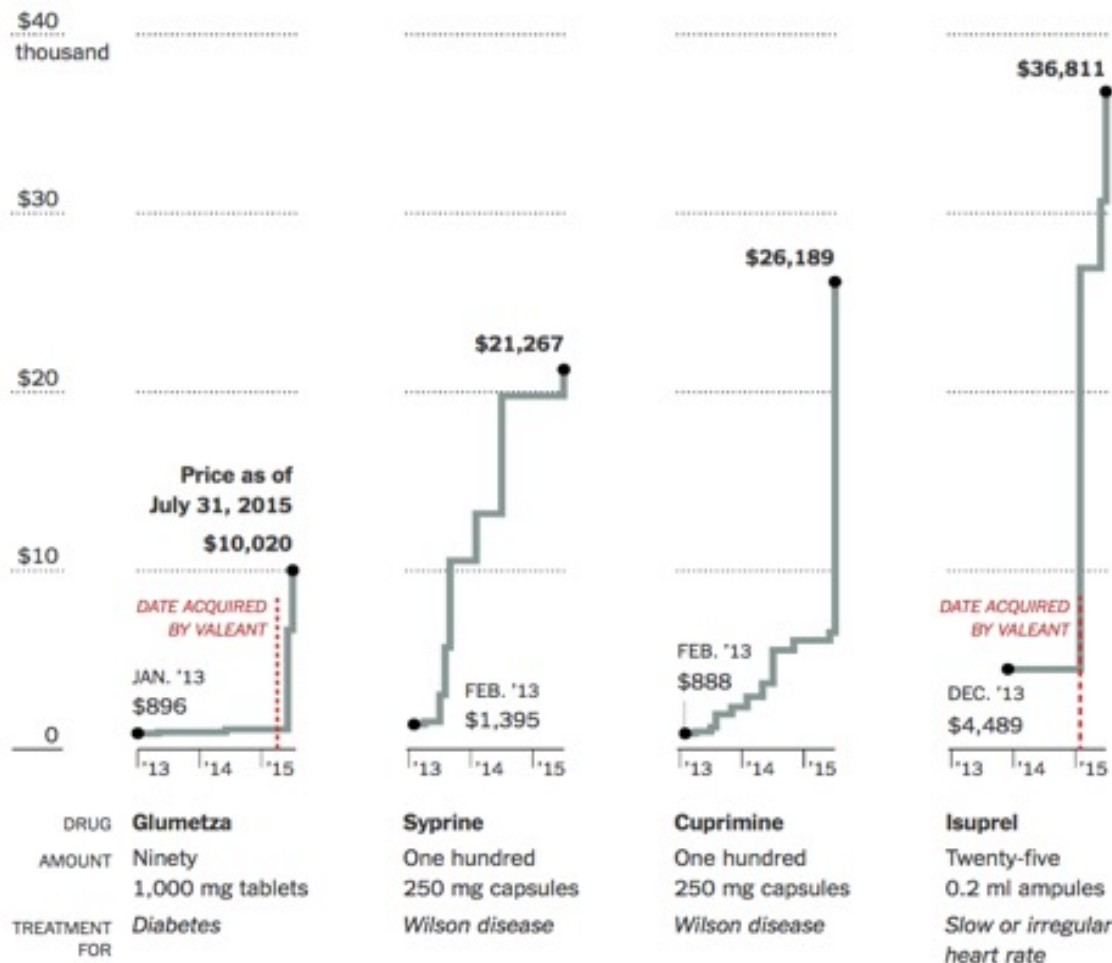


VALEANT Pharmaceuticals International

- Multinational specialty pharmaceutical company based in Canada
- Valeant strategy: acquisition of existing companies (and their drugs), cost cutting, and price hikes
- Valeant spends only 3% of sales on R&D, against 15-20% of big drug companies
- After buying companies, Valeant lays off employees to achieve savings:
 - 2012: Medicis had 790 employees; Valeant fired 750
 - 2013: Bausch & Lomb had 4,100 employees; Valeant fired 3,000
 - 2015: Salix had 1,000 employees; Valeant fired 400



List prices for some of Valeant's prescription drugs



Source: New York Times, Oct. 4, 2015. Prices for a typical monthly supply.



What category of stakeholders was particularly happy about price increases?



Valeant stock price



TSE:XHC: An index of
healthcare companies.
Dow: Dow Jones Industrial
Index.
VRX: Valeant
Pharmaceuticals.



Poll time!

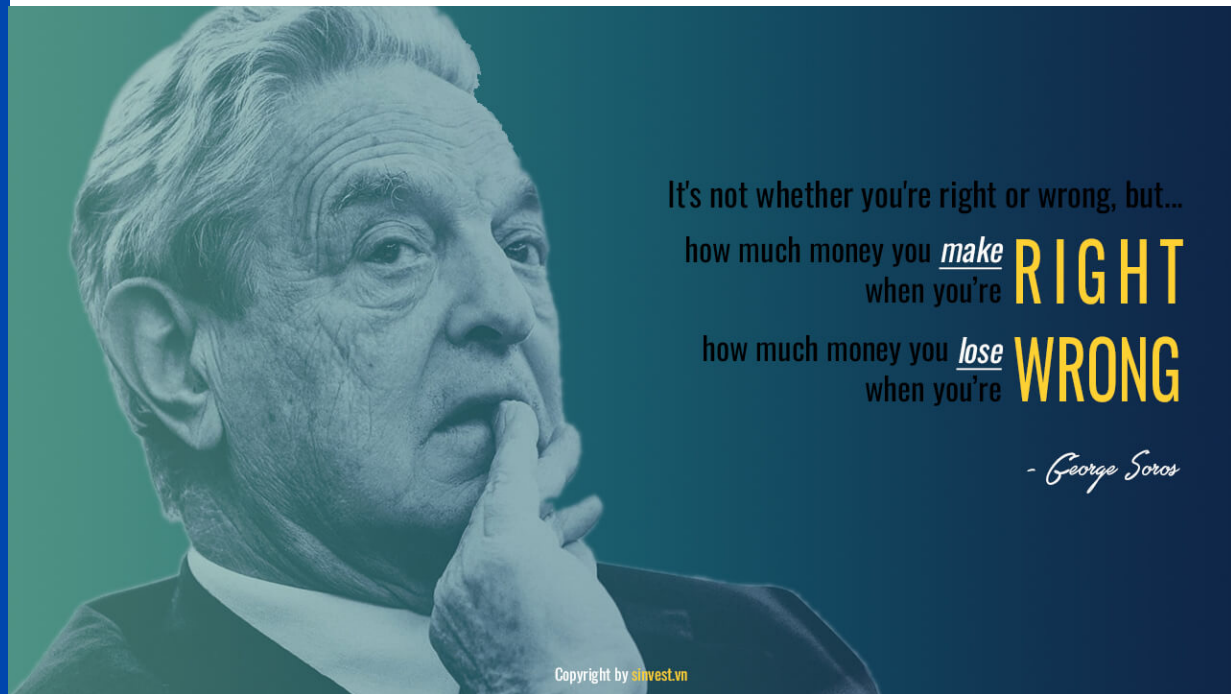
Were the price
increases justified?

A) Yes

B) No



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It's not whether you're right or wrong, but...
how much money you make **RIGHT**
when you're
how much money you lose **WRONG**
when you're

- George Soros

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Were the prices increases justified?

Valeant prices its drugs:

- “**based on clinical benefits** and the value they bring to patients, physicians, payers, and society”
- patients are **shielded** from price increases **by insurance** and virtually no one is denied a drug they need

Mr. Pearson (CEO):

a philanthropist who donated more than \$50 million to various schools of Duke University (his alma mater)

- “**Our duty is to our shareholders and to maximize value**”
- If products are “sort of mispriced and there’s an opportunity, we will act appropriately in terms of doing what I assume our shareholders would like us to do”



1.0

THE RELATIONSHIP BETWEEN BUSINESS AND SOCIETY



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Poll time!

To what extent should companies be held responsible to helping solve social problems?

- A) Companies are responsible only for making profits
- B) Companies should be responsible only under specific circumstances for solving social problem
- C) Definitely companies should solve social distortions



We define **BUSINESS** and **SOCIETY**

Business is any organization that is engaged in making a product providing a service for profit.

Society: refers to human beings (members of a particular community, nation, or interest group) and to the social structures they collectively create.



Business and Society

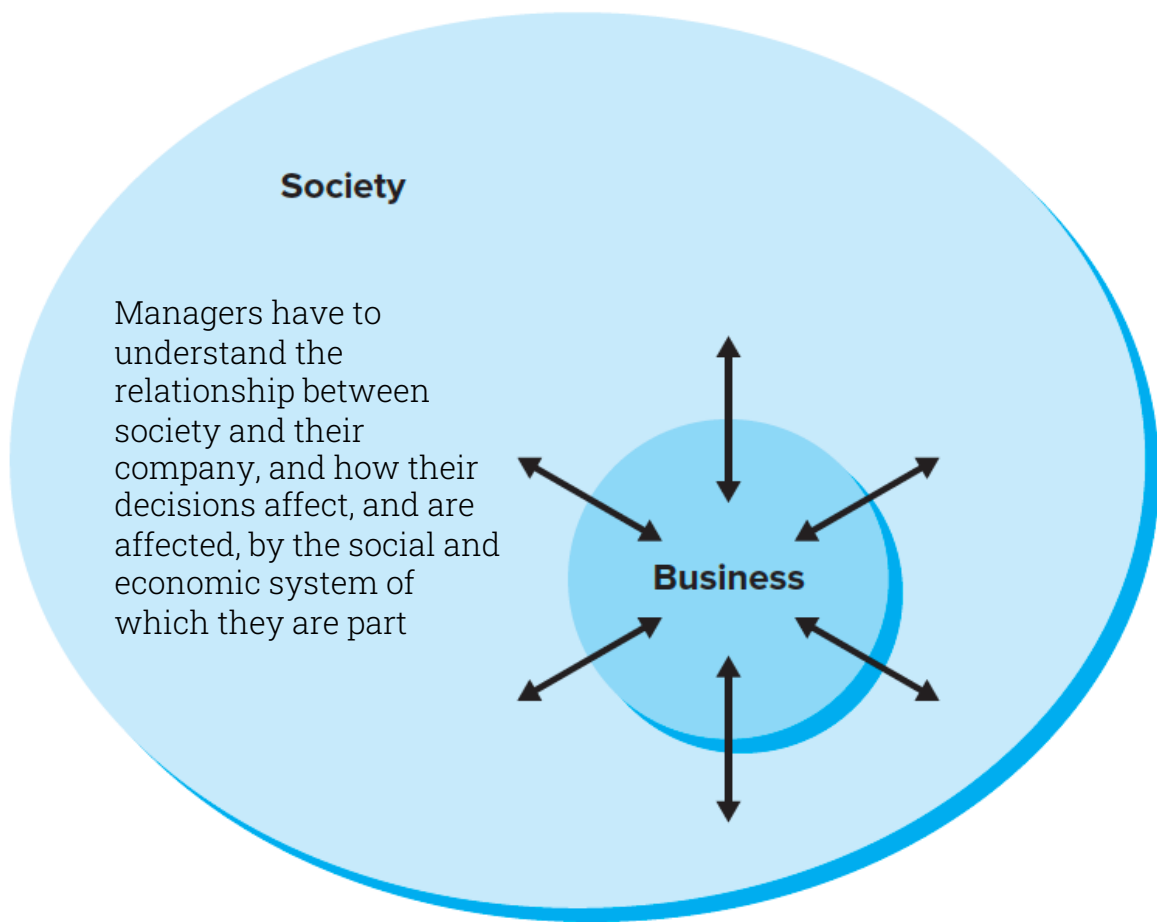
Business is part of society
But also a distinct entity
with clear boundaries

High interdependency
between society and
business:

can you think of some
examples?



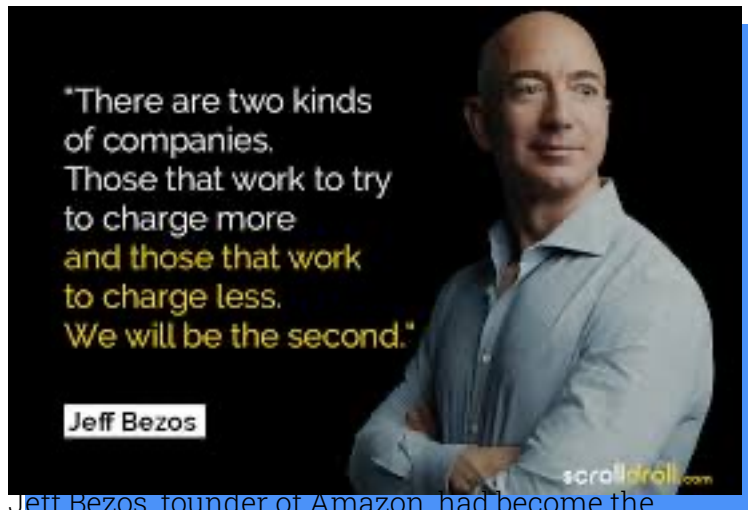
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Business & Society

2018: Amazon is the biggest Internet retailer in the world and part of a complex and global business system

- Annual revenue: 178 USD bln; market capitalization higher than 800 USD bln
- Second largest private employer in the US, with more than 540,000 employees
- Stock price was more than 12 times higher than it had been a decade earlier
- Small businesses affiliated with Amazon Marketplace to get access to Amazon's global e-commerce platform
- Customers benefited from variety and prices



Jeff Bezos, founder of Amazon, had become the world's richest person (net worth greater than 100 USD bln)

10 LARGEST PUBLIC U.S. RETAILERS IN 2020

MARKET VALUE, JULY 1 2020, USD



Business & Society

2018: Amazon is the biggest Internet retailer in the world with a great impact on society: strong and negative impact on brick-and-mortar stores

- Estimated cumulative loss of 1.2 million retailing jobs in the US
- Punishing work culture at Amazon (i.e. pattern of setting unreasonably high performance standards, rank and yank system)
- Unfair competition (i.e. suggestion on purchases biased towards Amazon's own private-label brand)
- When Amazon announced to open a new headquarter in 2017, at least 6 cities and regions offered financial incentives of 1 USD bn or more to attract it



Back to 1999: first Amazon office



What are key relationships and interdependencies between Amazon and society?



2.0

THE PURPOSE OF THE MODERN CORPORATION



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Every company needs a framework to navigate this difficult landscape, and that it must begin with a clear embodiment of your company's purpose in your business model and corporate strategy.

Purpose is not a mere tagline or marketing campaign; it is a company's fundamental reason for being – what it does every day to create value for its stakeholders. Purpose is not the sole pursuit of profits but the animating force for achieving them.

Profits are in no way inconsistent with purpose – in fact, profits and purpose are inextricably linked. Profits are essential if a company is to effectively serve all of its stakeholders over time – not only shareholders, but also employees, customers, and communities. Similarly, when a company truly understands and expresses its purpose, it functions with the focus and strategic discipline that drive long-term profitability.

LARRY FINK, CEO BLACKROCK | 2019 LETTER TO CEOS

Johnson & Johnson's credo

"We believe our first responsibility is to the doctors, nurses and patients, to mother and fathers and all others who use our products and services..."

(the remaining paragraphs are for employees, communities, and finally stockholders:

<http://www.jnj.com/about-jnj/jnj-credo>)



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On Unilever purpose

Unilever is a British-Dutch consumer goods company headquartered in Rotterdam, Netherlands. Unilever produces food and beverages, cleaning agents and personal care products

- More than € 50 bln turnover in 2020
- Approx. 155,000 employees in 2020



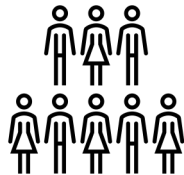
Interview to Paul Polman, Unilever ex-CEO



The Stakeholder Concept

STAKEHOLDER

Persons and groups that affect, or are affected by, an organization's decisions, policies, and operations.



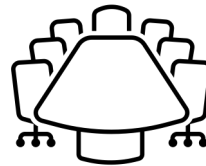
STAKE

Interest or claim on a business enterprise.

VS

STOCKHOLDER

Also called shareholders, are individuals or organizations that own shares of a company's stock.



The Stakeholder Theory of the Firm

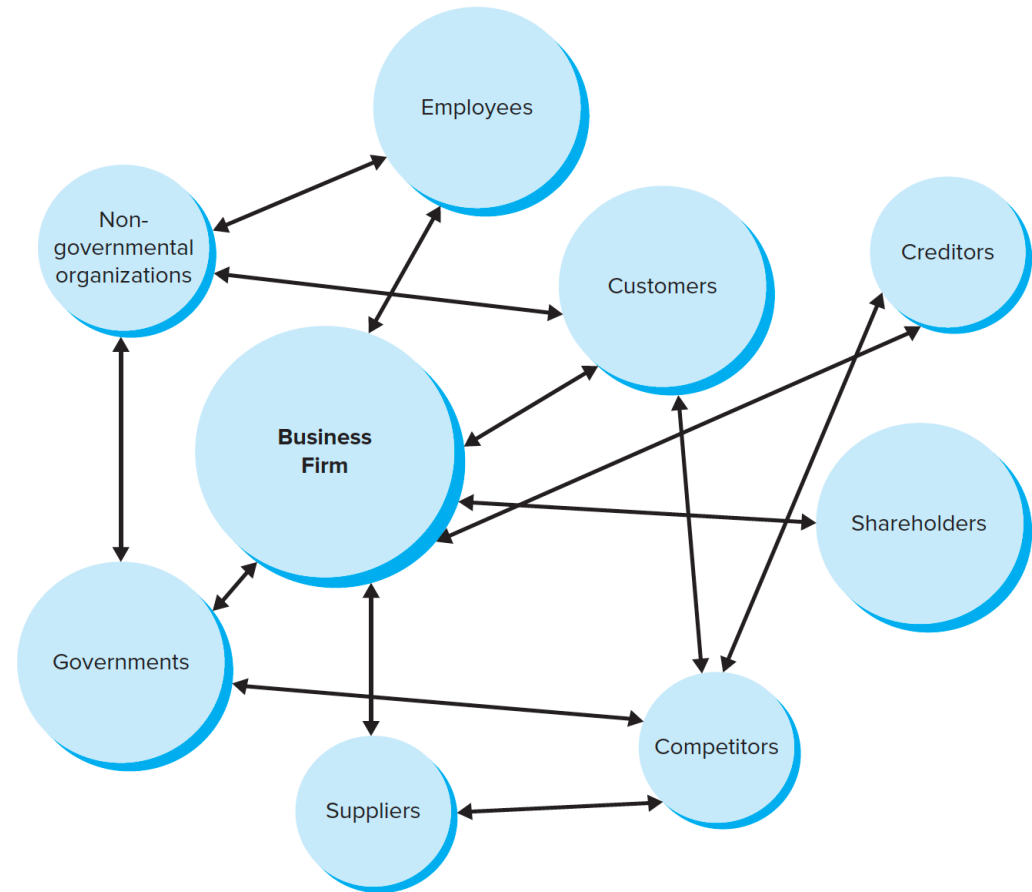
Shareholder theory of the firm (ownership theory, Friedman)	Stakeholder theory of the firm (Freeman)
Firm is seen as property of its owners	Corporations create value for society
Purpose is to make profits	Purpose is to satisfy a need in the society: corporations must create many other kinds of value in addition to profit
Managers and board of directors are agents of shareholders and have no obligations to others	Accountability is towards key stakeholders
Owners' interests take precedence over the interests of others	All stakeholders' interests must be taken into account



Kinds of Stakeholders:

- Market vs. Nonmarket
- Internal vs. External

Some individuals and groups may play multiple stakeholder roles



Energy Management Inc. (EMI)

EMI aimed at building a wind farm off the shore of Cape Cod, Massachusetts, to supply clean energy to New England Customers



This project generated intense opposition from:

- **Residents** of Cape Cod, since 130 wind turbines would spoil the view and get in the way the boats
- **A non profit group** for possible harmful to wildlife, increased electricity rates and danger to aircraft
- **Local utilities** no buy power from the wind farm

RESULT: State Regulators denied permission for a power line connection to mainland
EMI would call-off 16-year effort

Stakeholders can have strong influence on business decisions



The Core Arguments of the Stakeholder Theory of the Firm

Descriptive: Managers direct their energies toward all stakeholders, not just owners

Instrumental: Good relationships are a source of value for the firm

Normative: Any individual, who makes a contribution, or takes a risk, has a moral right to some claim on the corporation's rewards



3.0

STAKEHOLDER ANALYSIS, INTERESTS AND POWER



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Stakeholder Analysis and Interests

Stakeholder analysis consists in the identification of relevant stakeholders and to understand both their interests and the power they may have to assert their interests.

Stakeholder interests are the nature of each group's stake.



The 4 Key Questions of Stakeholder Analysis

WHO ARE THE RELEVANT
STAKEHOLDERS



HOW ARE COALITIONS
LIKELY TO FORM



WHAT ARE THE INTERESTS
OF EACH STAKEHOLDER



WHAT IS THE POWER OF
EACH STAKEHOLDER



Stakeholder power

VOTING POWER

the right to cast a vote (shareholders)

ECONOMIC POWER

(suppliers, customers and others)

LEGAL POWER

(Government)

INFORMATIONAL POWER

access to valuable data (customers, activists and others)



Market Stakeholders

Stakeholder	Nature of Interest	Nature of Power
Employees	- Stable Employment - Fair pay for work and benefits - Work in safe, comfortable environment	- Union bargaining power - Work actions or strike - Publicity
Shareholders	- ROI (dividends) - Stock value	- Voting rights - Rights to inspect company books
Customers	- Value and quality for money spent - Safe, reliable products - Accurate information	- Purchasing goods from competitors
Suppliers	- Regular orders for goods - Paid promptly - Use capacity efficiently - Treated ethically	- Refusing meet orders - Supplying to competitors
Retailers/Wholesaler	- Quality goods at reasonable cost - Offer reliable products	- Buying from other suppliers - Boycotting companies
Creditors	- Repayments of loans - Collect debts and interest	- Calling in loans - Repossess or take over property



NonMarket Stakeholders

Stakeholder	Nature of Interest	Nature of Power
Communities	- Employs local residents - Protect local environment - Ensure local area development	- Refusing additional credit - Lobbying government for regulation
Nongovernmental organizations	- Conformity to legal and ethical standards - Social and economic development	- Publicizing the issues - Lobbying government for regulation
Business support groups	- Research and Information	- Providing legal or group support
Governments	- Economic development - Social improvements - Raise revenues through taxes	- Regulations and laws - Licenses and permits - Allowing or disallowing commercial activity
The General Public	- Protect social values - Minimize risks - Prosperity for society	- Networking - Pressing government - Condemning or praising
Competitors	- Compete fairly - Cooperation - Seek new customers	- Pressing government - Suing companies that compete unfairly



Responsibility at UBER



- Uber Technologies Inc. (UBER) is a technology platform, whose smartphone apps connect driver-partners and riders
- UBER mainly provides ride hailing services, developing applications for road transportation, navigation, ride sharing, and payment processing solutions
- Uber Technologies serves customers worldwide through its ride-sharing application
- UBER went public on May 9, 2019
- 2019 revenue: \$14.1 B
- May 2021, market cap is \$94.91 B



Questions of responsibility at UBER

Watch the video
and ask yourself

Do you think UBER
was responsible in
any way for the
death of this child?



Poll time!

Do you think UBER was responsible in any way for the death of this child?

- A) Yes, UBER was responsible
- B) No, UBER was not responsible



Uber – discussion time

- Who are Uber's relevant market and non-market stakeholders in this situation?
- What are the various stakeholders' interests? What sources of power do the relevant stakeholders have?
- Based on the information you have, draft a stakeholder map of this case showing each stakeholder's position on the issue, its degree of power, and likely coalitions. What conclusions can you draw from the stakeholder map?



Market and non-market stakeholders

Market Stakeholders	Nonmarket Stakeholders
Uber drivers	American Insurance Association
Uber customers	California App-Based Drivers Association
	Taxi companies
	Competitors such as other ride-sharing firms like Lyft
	Consumer attorneys
	The general public
	Governments
	High-tech trade associations and Internet-based firms



What are the various stakeholders' interests?

FOR closing the App-On Gap	AGAINST the App-On Gap
Uber drivers	Competitors such as other ride-sharing firms like Lyft
Uber customers	High-tech trade associations and Internet-based firms
Taxi companies	
Government	
Consumer attorneys	
American Insurance Association	
California App-Based Drivers Association	



What sources of power do stakeholders have?

Type of stakeholder	Source of power	Degree of power (from 1 to 5)
Uber drivers	Economic power in that they can quit or attempt to form an union	1 2 3 4 5
Uber customers	Legal power to file lawsuits against UBER; Economic power through their choice of transportation services	1 2 3 4 5
American Insurance Association and California App-Based Drivers Association	Political power by supporting the proposed App-On Gap law. They may work as a coalition to argue that the law will better protect customers	1 2 3 4 5
City, state and national governments	Political power to enforce laws that protect the consumer	1 2 3 4 5
High-tech trade associations and Internet-based firms	Political power to speak out against the bill to close the gap. They may form a coalition to argue that the costs of compliance could be prohibitive	1 2 3 4 5

Based on your stakeholders' analysis:

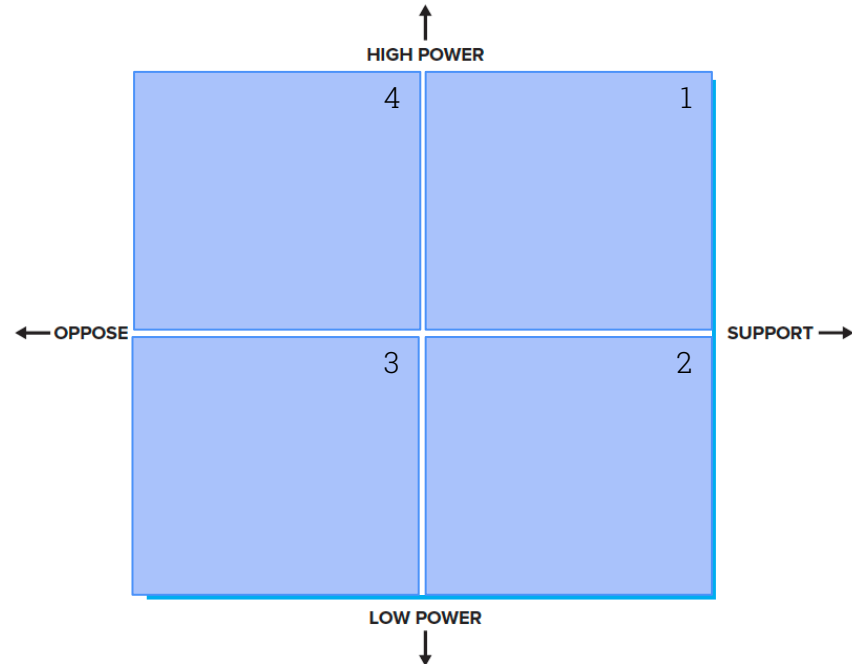
Would you suggest UBER to aim at blocking the lawsuit or at influencing it?

A) Block

B) Influence

List of key stakeholders

- Government
- Competitors
- Customers
- Insurance companies
- Other high-tech firms
- Uber consumers



Epilogue

- After strenuously opposing Bonilla's bill, Uber backed off, apparently recognizing that the company did not have the political strength to defeat it
- The company entered into negotiations over the specific terms of the legislation to reduce somewhat the amount of insurance required. Once these changes had been made, Uber (and its allies) dropped their opposition to the bill, and it easily passed the legislature
- Bonilla's office issued a statement saying, "This measure symbolizes business flexibility, consumer affordability, political compromise, and most importantly, what public policy should be – a collective process for all stakeholders to contribute."
- In the following months, laws designed to close the app-on gap went into effect in more than a dozen other states, requiring Lyft and other similar application providers to guarantee primary liability insurance as soon as a driver signaled availability, even if they had not yet collected a passenger



4.0

CONCLUSIONS AND SUMMARY



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The downfall of Valeant



Valeant was too aggressive - and I, as its leader, was also too aggressive - in increasing the prices of some of our drugs. My cumulative public comments have left the misimpression that shareholder interests were my only focus as CEO of Valeant. That is absolutely not the case”

Mr. PEARSON, 2016 | CEO at VALIANT

What would you do if you were
Valeant CEO?



Valeant today: time for changes **BAUSCH** Health

By the beginning of 2018 Valeant became profitable again

CHANGE OF MANAGEMENT

- Mr. Pearson was replaced by Papa as CEO in 2016

CHANGE OF MISSION

- “Improving people’s lives with our health care productes”

CHANGE OF NAME

- In 2018: Bausch Health Companies Inc (including new imagery and website)



Some facts...

8 OUT OF 10 CONSUMERS

consumers think companies should accomplish business goals while improving society and the environment

Source: www.bocconi.it

42% OF CONSUMERS

would refuse to purchase a company's product if they practiced socially irresponsible behavior

65% OF CONSUMERS

would switch from an environmentally harmful company to a competitor who did not



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MILLENNIALS

75% say they would take a pay cut to work for a responsible company



would be more loyal to a company that helps them contribute to social issues **83%**



83% want their company to provide support and resources for them to make positive social and environmental changes at home

84% want their company to help them identify ways to get more involved in their communities

83% wish their employer would provide volunteer opportunities they could do with friends or family

In summary

- Business is part of society and engages in ongoing exchanges with its external environment
- According to the stakeholder theory of the firm, the purpose of the modern corporation is to create value for all its stakeholders
- Stakeholders are all those, who affect, or are affected by, the actions of the firm
- Stakeholders often have multiple interests and can exercise their economic, political, and other powers in ways that benefit or challenge the organization
- Most companies have many departments specifically charged with interacting with stakeholders



THANK YOU



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